

IndusInd General Insurance Company Limited

September 25, 2026

Facilities/Instruments	Name of the Regulator ¹	Amount (₹ crore)	Rating ²	Rating Action
Subordinate debt*	SEBI	-	-	Withdrawn
Subordinate debt*	SEBI	-	-	Withdrawn
Subordinate debt*	SEBI	130.00	CARE A+; Stable	Assigned
Subordinate debt*	SEBI	400.00	CARE A+; Stable	Reaffirmed
Subordinate debt*	SEBI	300.00	CARE A+; Stable	Reaffirmed

Details of instruments/facilities in Annexure-1.

*CARE Ratings Limited (CareEdge Ratings) has rated subordinate debt considering regulatory conditions and in view of their sensitiveness to the company's solvency ratio and profitability due to regulatory covenants in long tenure of the instrument. Interest payable on subordinate debt will be subject to following:

- Solvency of the issuer remains per regulatory stipulation.
- Where impact of such payment may result in net loss or increase the net loss, prior approval of the authority for such payment will be obtained.

Delay in payment of interest / principal (as the case may be) following invocation of covenants, would constitute an event of default per CareEdge Ratings' definition of default and as such these instruments may exhibit sharper migration of the rating.

Rationale and key rating drivers

The rating reaffirmation of the enhanced debt instruments of IndusInd General Insurance Company Limited (IGICL) considers IGICL's experienced management, diversified product profile, healthy investment portfolio and geographical diversification. Ratings also reflect favourable impact of synergies following successful acquisition of its parent company, IndusInd Capital Limited (ICL), by IndusInd International Holdings Limited (IIHL). These synergies are expected to arise from the IIHL ecosystem through rebranding and enhanced access to bancassurance distribution, which are expected to favourably influence IGICL's business profile. Ratings are also supported by oversight and governance provided by ICL's management.

However, ratings are constrained by IGICL's modest financial performance, exposure to intense competition in the general insurance industry and evolving regulatory landscape.

Rating sensitivities: Factors likely to lead to rating actions

Positive factors: Factors that could individually or collectively lead to positive rating action/upgrade:

- Significant increase in size of operations and overall market share.
- Improvement in profitability metrics with a diversification in the product portfolio on a sustained basis.

Negative factors: Factors that could individually or collectively lead to negative rating action/downgrade:

- Material changes in shareholding.
- Weakness in the capitalisation profile, with solvency falling below 1.6x on a sustained basis.

Analytical approach: Standalone

Outlook: Stable

The outlook is 'Stable' considering expectation of steady and profitable business growth, while maintaining comfortable solvency margins.

¹SEBI: Securities and Exchange Board of India; RBI: Reserve Bank of India; MCA: Ministry of Corporate Affairs; IRDAI: Insurance Regulatory and Development Authority of India; PFRDA: Pension Fund Regulatory and Development Authority.

²Complete definitions of ratings assigned are available at www.careratings.com and in other CARE Ratings Limited's publications.

Detailed description of key rating drivers

Key strengths

Promoter support and synergies

As of March 31, 2024, ICL held 98.67% stake in IGICL. But post successful implementation of resolution as parent ICL is out of corporate insolvency, it holds 73.74% and Aasia Enterprise LLP holds 24.96% of IGICL as on June 30, 2026. Till date the promoters have infused ~₹400 crore (~₹299 crore by ICL and ~₹101 crore by Aasia Enterprise LLP). The board consists of four independent directors, one executive and two nominee directors, chaired by Arun Tiwari having up to four decades of experience. SV Zaregaonkar is also present on the board as an Independent Director with over four decades of experience in banking and financial sector.

IGICL's daily operations will be led by Mr. Sharad Mathur, who is recently appointed Additional Director & CEO (Designated), will be replacing existing ED and CEO Mr. Rakesh Jain, who will be completing 15 years with the entity in the next month. Mr. Mathur brings three decades of experience in insurance, financial services, consumer business, and risk management. He is supported by a seasoned leadership team, including Mr. Hemant Jain (CFO), with similar industry tenure and key managerial personnel have been with IGICL for over a decade. As on June 30, 2026, IGICL operates in 128 branches across India with 7,419 employees. In Q1FY27, 59% of premiums came through brokers (FY26: 47%), 22% through direct channels (FY26: 32%), and the rest from agents and others.

The company has been steadily expanding its health portfolio; however, motor and crop insurance still accounted for majority share, comprising 59% of the total business underwritten in FY26. In Q1FY27, the company concentrated on segment such as health (up 18%) in terms of gross written premium and rest all segments witnessed degrowth. Meanwhile, the crop segment recorded a 64% decline due to company's shift to move away from crop business, and increased participation from government-backed insurers, which intensified competition in the bidding process.

CareEdge Ratings notes IGICL's ₹400 crore capital infusion in FY26 and subdued business growth. However, maintaining solvency buffers remains crucial given the expected change in product mix. As on June 30, 2026, solvency margin stood at 1.75x (Mar-26: 1.73x), above the 1.5x regulatory minimum. The company has raised ₹600 crore through subordinated debt in FY26, which helped in improving the solvency levels. The company is expected to raise an additional ₹400 crore in FY27 (₹130 crore through subordinated debt and ₹270 crore through capital infusion from existing promoters). Support from its parent, ICL and ultimate promoter IIHL is anticipated to maintain solvency above 1.6x, as stated in the ICL's debenture trustee deed.

CareEdge Ratings expects overall business to increase considering synergies from change in branding and strengthening banca tie up.

Diversified business and product profile

Traditionally, motor insurance and crop insurance have been the dominant business segments for the company. In Q1FY27 (FY refers to April 01 to March 31), motor and crop insurance contributed 30% (FY26: 37%; FY25: 37%; FY20: 41%) and 5% (FY26: 22%; FY25: 30%; FY20: 24%), respectively, of gross written premium (GWP). Over the years, the company diversified its line of business (LOB) mix away from crop and motor insurance towards health and personal accident (Q1FY27: 39%, FY26: 23%, FY25: 18%, FY24: 17%) and fire insurance (Q1FY27: 17%, FY26: 10%, FY25: 10%, FY24: 11%). Within motor insurance, motor own damage (OD) and motor third-party (TP) insurance accounted for 51% (FY26: 49%, FY25: 44%, FY24: 41%) and 49% (FY26: 51%, FY25: 56%, FY24: 59%), respectively, in Q1FY27.

In FY26, retail health accounted for 28% (FY25: 30%) of the total health business, while group health accounted for the balance 72% (FY25: 70%). In Q1FY27, the share of retail health declined to 15%, with group health contributing 85%. Retail health policies have a renewal rate of ~70-77%. CareEdge Ratings anticipates contribution from health to increase in the company's overall business mix, driven by stronger strategic alignment with the promoter group. Medium-term benefits are expected from synergies with promoter-led entities, such as enhanced access to bancassurance channels, which could positively influence the company's business profile.

Key weaknesses

Moderate financial performance

The company's gross written premium (GWP) slightly improved by 1% in FY26 and a decline of 11% in Q1FY27 to ₹3,058 crore, compared to ₹3,421 crore in Q1FY26. This decrease was primarily driven by a decline in crop insurance underwriting, resulting from the re-tendering of crop insurance contracts and lower underwriting in the fire segment due to high competition. The crop

insurance business witnessed increased participation from government-backed insurers in FY26, which intensified competition and made it more challenging for private players during the bidding phase.

On the other hand, in FY26, the company focused on other business segments for gross written premium (GWP), such as fire (grew by 9%), health (grew by 30%), and motor own damage (OD) (grew by 14%). Consequently, the expense ratio³ increased to 20.57% in FY26 from 19.32% in FY25 (FY24: 21.56%), primarily due to the health and personal accident (PA) segments. The commission ratio⁴ rose to 21.55% in FY26 from 14.68% in FY25 (FY24: 12.76%), driven by lower recoveries from reinsurance contracts in the fire line of business owing to significant claims, and changes in the channel mix.

In Q1FY27, the expense ratio and commission ratio stood at ~15.43% (PY: 19.04%) and ~17.64% (PY: 14.44%), respectively. Despite capital-raising constraints in the last few years, the company was able to grow largely at par with the industry growth rate due to its focus on reinsurance. The company continues to have a moderate financial performance, with combined ratio deteriorating to 125% in FY26 (FY25: 117%, FY24: 115%), which improved marginally to 121% in Q1FY27 (PY: 116%) due to changes in the channel mix and decline in crop business.

CareEdge Ratings expect improvement in earnings with diversification in product mix and channel mix, which remains a key monitorable.

Changing regulatory dynamics and competitive industry landscape

The long-term growth outlook for the Indian general insurance sector, particularly health insurance, remains highly favourable, supported by persistently low non-life insurance penetration of less than 1% of gross domestic product (GDP), rising healthcare costs, increasing insurance awareness, expanding middle-income demographics, and sustained economic growth. Health insurance has emerged as the largest segment within the non-life insurance industry, contributing greater than 40% of total non-life premiums. Regulatory initiatives under Insurance Regulatory and Development Authority of India's (IRDAI) vision of "Insurance for All by 2047", including the ongoing implementation of the Bima Trinity framework (Bima Sugam, Bima Vistaar and Bima Vahak), continue to support market expansion and financial inclusion. The sector is also undergoing significant regulatory transformation through the adoption of the 1/n premium recognition framework for long-term products, the proposed introduction of composite licences, and the gradual transition toward a risk-based capital (RBC) regime and Indian Accounting Standards (Ind AS)-compliant financial reporting, aimed at enhancing transparency, capital efficiency, and long-term industry resilience.

Competition within India's general insurance sector continues to intensify, driven by growing influence of private insurers and standalone health insurers, which are steadily gaining market share through digital-first operating models, superior customer experience, analytics-led underwriting, and innovative product offerings. Competitive pressures are further increasing as insurers leverage artificial intelligence, data analytics, embedded insurance solutions, bancassurance partnerships, and digital distribution platforms to enhance customer acquisition and retention. At the same time, public sector insurers are accelerating modernisation efforts to improve operational efficiency and service delivery. The evolving competitive landscape, and regulatory reforms and technology adoption, is expected to foster greater innovation, improve insurance accessibility, and support sustained growth across the Indian insurance market.

Liquidity: Adequate

IGICL has an adequate liquidity profile where the company's liquidity coverage ratio⁵ stood at 89.62% as on June 30, 2026 (March 2026: 94.45%), with liquid investment (G-secs and AAA rated bonds) as on June 30, 2026, at ₹15,134 crore (March 2025: ₹15,010 crore). In Q1FY27, cash inflows (net premiums written + net investment income) stood at ₹2,271 crore against net incurred claims of ₹1,423 crore and total expense (opex + net commission) of ₹628 crore.

Applicable criteria

[Definition of Default](#)

[Rating Outlook and Rating Watch](#)

[Withdrawal Policy](#)

[Non-Life Insurance Sector](#)

³ Expense Ratio = (Operating Expense/Net Premium Written)

⁴ Commission ratio = (Net commission/Net premium written)

⁵ Liquidity coverage ratio = (liquid investment + cash and cash equivalent) / (technical reserves including sub debt repayment)

About the company and industry

Industry classification

Macroeconomic indicator	Sector	Industry	Basic industry
Financial services	Financial services	Insurance	General insurance

IGICL was established on August 17, 2000, and operates as a wholly owned subsidiary of IndusInd Capital Limited (ICL). Following the successful resolution of ICL's corporate insolvency process, ICL (CARE BBB-; Stable) now holds a 73.74% stake in IGICL, while Aasia Enterprise LLP owns 24.96%, as on March 31, 2026. IGICL offers a diverse range of insurance products including fire, marine, health, personal accident, liability, and motor insurance. As on March 31, 2026, the company had a network of 128 branches and employed 7,598 individuals. The company primarily sources its business through broker channels including OEM partnerships which contribute ~47% of its total business as on March 31, 2026. The direct channel follows, accounting for ~40% as of the same date.

Standalone financials of IGICL:

Brief Financials (₹ crore)	March 31, 2025 (A)	March 31, 2026 (A)	Q1FY27 (UA)
Gross written premium	12,666.81	12,743.11	3,058.06
Net earned premium	7,124.68	7,021.31	1,614.76
PAT	315.44	90.81	0.63
Claims outstanding	13,322.26	14,269.38	14,458.73
Tangible net worth*	3,194.85	3,507.13	3,724.99
Total investments	21,357.61	22,678.42	23,726.80
Combined ratio (%)	116.63	124.86	121.22
Solvency (x)	1.59	1.73	1.75
Return on net-worth (RONW) (%)	10.08	2.71	0.07#

A: Audited UA: Unaudited; Note: these are latest available financial results

*Net of deferred tax assets and intangibles and including fair value change

#Annualised **Includes Gross Direct Premium

Status of non-cooperation with previous CRA: Not applicable

Any other information: Not applicable

Rating history for last three years: Annexure-2

Detailed explanation of covenants of rated instrument / facility: Annexure-3

For complexity level of instruments rated refer to Annexure-1

Lender details: Annexure-4

Disclosure on facilities/instruments and name of regulators:

A list of facilities / instruments falling under the purview of financial sector regulators (FSRs) along with the names of respective FSRs has been duly disclosed by CareEdge Ratings on its website. A link to the same has been provided below for ready reference:

https://www.careratings.com/activities_and_regulators

Note: For facilities or instruments falling under the purview of FSRs other than Securities and Exchange Board of India (SEBI), the grievance / dispute redressal mechanisms and investor protection mechanisms provided by SEBI shall not be available.

Annexure-1: Details of instruments/facilities

Name of the Instrument	Name of the Regulator	Complexity Level	ISIN	Date of Issuance	Coupon Rate (%)	Maturity Date	Size of the Issue (₹ crore)	Rating Assigned and Rating Outlook
Debt-Subordinate Debt	SEBI	Complex	INE124D08027	26-Sep-2025	10.99%	26-Sep-2035	400.00	CARE A+; Stable
Debt-Subordinate Debt	SEBI	Complex	INE124D08035	30-Mar-2026	10.99%	30-Mar-2036	200.00	CARE A+; Stable
Debt-Subordinate Debt (Proposed)	SEBI	Complex	-	-	-	-	230.00	CARE A+; Stable
Debt-Subordinate Debt	SEBI	Complex	INE124D08019	16-Aug-2016	9.10%	17-Aug-2026	0.00	Withdrawn

Annexure-2: Rating history for last three years

Sr. No.	Name of the Instrument/Bank Facilities	Current Ratings			Rating History			
		Type	Amount Outstanding (₹ crore)	Rating	Date(s) and Rating(s) assigned in 2026-2027	Date(s) and Rating(s) assigned in 2025-2026	Date(s) and Rating(s) assigned in 2024-2025	Date(s) and Rating(s) assigned in 2023-2024
1	Debt-Subordinate Debt	LT	-	-	-	1)CARE A+; Stable (17-Mar-26) 2)CARE A+; Stable (11-Sep-25)	1)CARE A (RWD) (07-Jan-25)	1)CARE A; Negative (28-Feb-24)
2	Debt-Subordinate Debt	LT	-	-	-	1)CARE A+; Stable (17-Mar-26) 2)CARE A+; Stable (11-Sep-25)	1)CARE A (RWD) (07-Jan-25)	1)CARE A; Negative (28-Feb-24)
3	Debt-Subordinate Debt	LT	400.00	CARE A+; Stable	-	1)CARE A+; Stable (17-Mar-26) 2)CARE A+; Stable (11-Sep-25)	-	-
4	Debt-Subordinate Debt	LT	300.00	CARE A+; Stable	-	1)CARE A+; Stable (17-Mar-26)	-	-
5	Debt-Subordinate Debt	LT	130.00	CARE A+; Stable				

LT: Long term

Annexure-3: Detailed explanation of covenants of rated instruments/facilities

Not applicable

Annexure-4: Lender detailsTo view lender-wise details of bank facilities please [click here](#)

Note on complexity levels of rated instruments: CareEdge Ratings has classified instruments rated by it based on complexity. Investors/market intermediaries/regulators or others are welcome to write to care@careedge.in for clarifications.

Contact us

Media Contact Mradul Mishra Director CARE Ratings Limited Phone: +91 22 6754 3596 E-mail: mradul.mishra@careedge.in Relationship Contact Pradeep Kumar V Senior Director CARE Ratings Limited Phone: +91 44 2850 1001 E-mail: pradeep.kumar@careedge.in	Analytical Contacts Sudam Shrikrushna Shingade Director CARE Ratings Limited Phone: +91 22 6754 3453 E-mail: sudam.shingade@careedge.in Shaik Abdul Saleem Associate Director CARE Ratings Limited Phone: +91 22 6754 3447 E-mail: Shaik.saleem@careedge.in Lokesh Warjurkar Lead Analyst CARE Ratings Limited E-mail: lokesh.warjurkar@careedge.in
--	---

About us:

Established in 1993, CareEdge Ratings is one of the leading credit rating agencies in India. Registered under the Securities and Exchange Board of India, it has been acknowledged as an External Credit Assessment Institution by the Reserve Bank of India. With an equitable position in the Indian capital market, CareEdge Ratings provides a wide array of credit rating services that help corporates raise capital and enable investors to make informed decisions. With an established track record of rating companies over almost three decades, CareEdge Ratings follows a robust and transparent rating process that leverages its domain and analytical expertise, backed by the methodologies congruent with the international best practices. CareEdge Ratings has played a pivotal role in developing bank debt and capital market instruments, including commercial papers, corporate bonds and debentures, and structured credit. For more information: www.careratings.com

Disclaimer:

This disclaimer pertains to the ratings issued and content published by CARE Ratings Limited ("CareEdge Ratings"). Ratings are opinions on the likelihood of timely payment of the obligations under the rated instrument and are not recommendations to sanction, renew, disburse, or recall the concerned bank facilities or to buy, sell, or hold any security. Any opinions expressed herein are in good faith and are subject to change without notice. The rating reflects the opinions as on the date of the rating. A rating does not convey suitability or price for the investor. The rating agency does not conduct an audit on the rated entity or an independent verification of any information it receives and/or relies on for the rating exercise. CareEdge Ratings has based its ratings/outlook on the information obtained from reliable and credible sources. CareEdge Ratings does not, however, guarantee the accuracy, adequacy, or completeness of any information and is not responsible for any errors or omissions and the results obtained from the use of such information. The users of the rating should rely on their own judgment and may take professional advice while using the rating in any way. CareEdge Ratings shall not be liable for any losses that user may incur or any financial liability whatsoever to the user of the rating. The use or access of the rating does not create a client relationship between CareEdge Ratings and the user.

CAREEDGE RATINGS DISCLAIMS WARRANTY OF ANY KIND, EXPRESS, IMPLIED OR OTHER WARRANTIES OR CONDITIONS, TO THE EXTENT PERMITTED BY APPLICABLE LAWS, INCLUDING WARRANTIES OF MERCHANTABILITY, ACCURACY, COMPLETENESS, ERROR-FREE, NON-INFRINGEMENT, NON-INTERRUPTION, SATISFACTORY QUALITY, FITNESS FOR A PARTICULAR PURPOSE OR INTENDED USAGE.

Most entities whose bank facilities/instruments are rated by CareEdge Ratings have paid a credit rating fee, based on the amount and type of bank facilities/instruments. CareEdge Ratings or its subsidiaries/associates may also be involved with other commercial transactions with the entity. CareEdge Ratings does not act as a fiduciary by providing the rating. The ratings are intended for use only within the jurisdiction of India. The ratings of CareEdge Ratings do not factor in any rating-related trigger clauses as per the terms of the facilities/instruments, which may involve acceleration of payments in case of rating downgrades. However, if any such clauses are introduced and triggered, the ratings may see volatility and sharp downgrades. CareEdge Ratings has established policies and procedures as required under applicable laws and regulations which are available on its website.

Privacy Policy applies. For Privacy Policy please refer to https://www.careratings.com/privacy_policy

© 2026, CARE Ratings Limited. All Rights Reserved.

This content is being published for the purpose of dissemination of information required as per applicable law and regulations and CARE Ratings Limited holds exclusive copyright over the same. Any reproduction, retransmission, modification, derivative works or use or reference to the contents, in whole, in part or in any form, is prohibited except with prior express written consent from CARE Ratings Limited.

**For detailed Rating Report and subscription information,
please visit www.careratings.com**